

Instructor: Date:

Learner: Regional Branch:

Program: Center:

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Let's Start!

Legal Scope of Contract Negotiations



Learning Outcome:

Understand information about people's backgrounds in spoken or written documents.

Define strategies to make terms of reference and supplier assessment processes, in technology acquisition, based on established protocols.

Ask your partner:

- How important do you think legal considerations in technology contracts are? Why?
- Would you consider demanding an insurance clause that claims for access to the source code in case the vendor fails to meet its obligations?

Can Do Statements:

- I can understand written information about legal considerations in technology contracts.
- I can identify the importance of Service Level Agreements, SLA.
- I can write a simple text about the importance of Service Level Agreements, SLA.



Let's Explore!

Legal Considerations in IT Contracts



Instructions: Read the text below.

IT negotiations demand from both parties, the customer and the software vendor, to have some legal considerations in mind. Whether it is just procuring a new software version, or putting into practice an expensive management system solution, drafting a technology contract (or dealing with the vendor's form) is an effort to ensure that your needs and expected contractual rights are laid out in the contract. Here, some of the legal considerations you should take into account will be discussed:

Escrow as insurance: if the product you purchased is essential and it cannot be replaced readily and supposedly the vendor goes out of business, or the product you purchased is no longer made, you ought to have an escrow agreement so that you can have access to the source code as an insurance. However, you are not supposed to have access to this code unless the vendor fails to provide the promised services.

Service Level Agreements: An SLA should describe what cloud services are promised to the customer. This is, however, not always easy to find an IT contract. SLAs are not supposed to be offered upfront by the vendor, so it is sometimes necessary to ask for them, and when you do get them, they are not fully comprehensible. SLAs ought to be a guarantee for the cloud users to access the procured services or get customer support with a pre-established schedule. An SLA can include an insurance in the case that the vendor doesn't meet its obligations.

To summarize, vendors are not supposed to make these legal considerations explicit. Nevertheless, an IT legal consultant ought to ask for them because they can provide indemnification for the customer in case there are liabilities in the services provided by the vendor.





Let's Practice!

Protecting Your Technology Purchases

Instructions: Write the words to correctly complete the sentences. Use words from the box below.

 ought to ask / should get / should ask /
should secure / ought to have

1. If the company plans to contract cloud services they _____ an SLA.
2. As the provider is a small company we _____ for an escrow as insurance.
3. The company needs to minimize information leaks, they _____ always for data protection.
4. As everybody knows a good contract, with original material implies that you _____ an indemnification agreement.
5. The company has to be sure about what they can do, that's why you _____ the use rights clear.



Let's Practice!

What to Do When Contracting Technology Services

Instructions: Read the text. Select all the correct answers.

Service Level Agreements: An SLA should describe what cloud services are promised to the customer. This is, however, not always easy to find an IT contract. SLAs are not supposed to be offered upfront by the vendor, so it is sometimes necessary to ask for them, and when you do get them, they are not fully comprehensible. SLAs ought to be a guarantee for the cloud users to access the procured services or get customer support with a pre-established schedule. An SLA can include an insurance in the case that the vendor doesn't meet its obligations.

1. These are the things you are not supposed to forget when creating an SLA:
 - a. _____ You're not supposed to forget the type of service and responsibilities.
 - b. _____ SLA is not supposed to have a guarantee for the cloud users.
 - c. _____ You are not supposed to forget the time and date of the SLA.
 - d. _____ SLAs are not supposed to be fully comprehensible.
 - e. _____ SLA is not supposed to include an insurance in the case that the vendor doesn't meet his obligations.
 - f. _____ You are not supposed to forget what an SLA is.
 - g. _____ SLA is not supposed to be offered upfront by the vendor.





Extension Activity

My Company's Legal Considerations

Instructions: Complete the following steps. Fill in the Self-Assessment.

- Think about the company you work in or plan to work for.
- Plan all the possible considerations you would have in case you were in charge of making the legal papers when contracting services.
- Write all that you would include with all the possible specifications.
- Use the grammar and vocabulary you studied in this lesson.
- Present your idea to a partner.

Self-Assessment

Yes No

- | | | |
|---|-----------------------|-----------------------|
| 1. I think about my work position in this moment or in the future. | ☐ | ☐ |
| 2. I plan the legal considerations when contracting technological services. | ☐ | ☐ |
| 3. I write my ideas on a document. | ☐ | ☐ |
| 4. I use the grammar and vocabulary I learned. | ☐ | ☐ |
| 5. I present my ideas to a partner. | ☐ | ☐ |



Target Words

- **supposedly** (adverb): related to what is commonly believed.
e.g. Escrow as insurance: if the product you purchased is essential and it cannot be replaced readily and supposedly the vendor goes out of business.
- **comprehensible** (adjective): easy to be understood.
e.g. It is sometimes necessary to ask for them, and when you do get them, they are not fully comprehensible.
- **nevertheless** (adverb): in spite of, or contrary of what was previously said or mentioned.
e.g. Nevertheless, an IT legal consultant ought to ask for them because they can provide indemnification for the customer in case there are liabilities in the services provided by the vendor.
- **draft** (verb): to write something before it is in its definitive form.
e.g. Drafting a technology contract (or dealing with the vendor's form) is an effort to ensure that your needs and expected contractual rights are laid out in the contract.
- **lay out** (phrasal verb): to explain something in a written way.
e.g. Drafting a technology contract (or dealing with the vendor's form) is an effort to ensure that your needs and expected contractual rights are laid out in the contract.
- **readily** (adverb): quickly.
e.g. Escrow as insurance: if the product you purchased is essential and it cannot be replaced readily and supposedly the vendor goes out of business.



Learning Points

Be Supposed to in Negative Statements

When we want to express that something is not expected or required from someone or something, we can use the structure **be supposed to in negative statements**.

Be supposed to in negative statements is used to say that something is not expected or required to happen.

Structure:

Subject + **am/is/are** + **not** + **supposed to** + verb base form + complement

Take a look at the following examples:

- *Legal considerations **are not supposed to** be ignored by both parties in a negotiation.*
- *A software vendor **is not supposed to** make Service Level Agreements explicit.*

Examples

- *However, you are not supposed to have access to this code unless the vendor fails to provide the promised services.*
- *This is, however, not always easy to find an IT contract. SLAs are not supposed to be offered upfront by the vendor.*

Breaking down Service Level Agreements

A service level agreement states what the customer receives from the provider. It will not, however, define how the service will be provided. For a better understanding, check out the following features:

A description of the service that the customer procures:

Configuration protocols, domain name servers, and maintenance conditions.

Reliability

A promise of the service availability and the scheduled outages limit.

Responsiveness

The promptness and punctuality of services and response to requests.

Procedure for reporting problems

Specifications on what to do if a problem arises, how and who to it should be reported and the steps to follow to resolve a problem with efficiency.

Consequences for not delivering the promised services

Reimbursement, or enabling the licensee to terminate the contract relationship.

